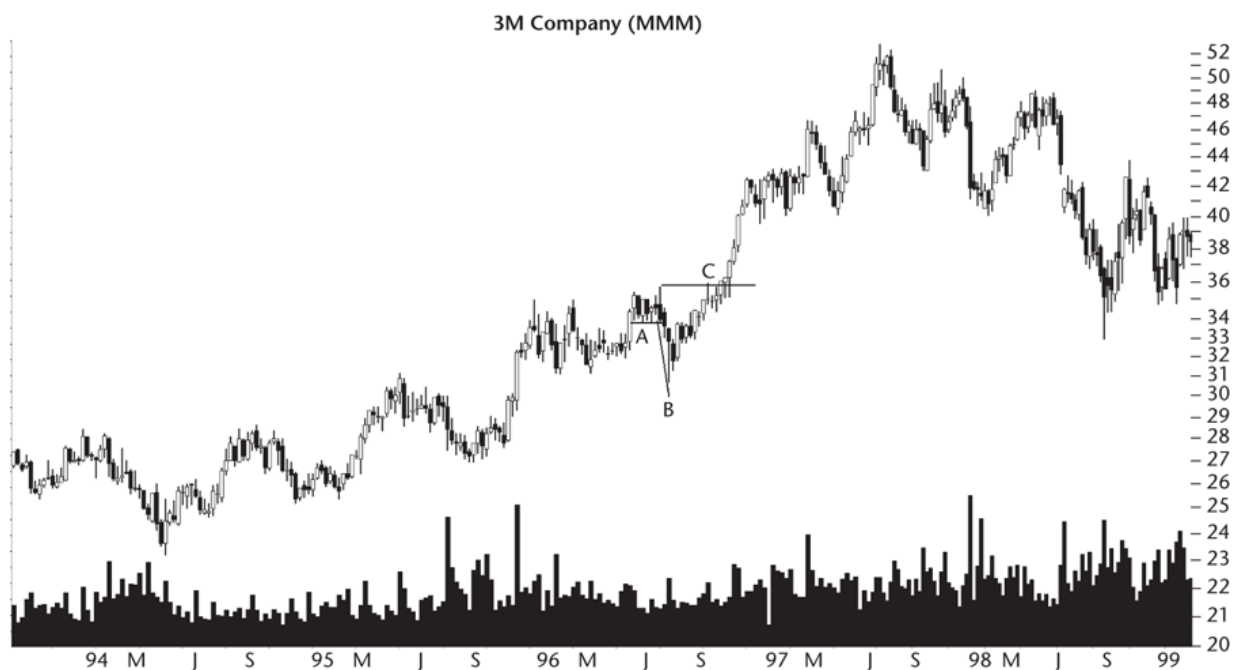




**Figure 25.1** This diving board pattern leads to a large upward move. Note: weekly scale.

Trading the recovery is difficult to do. The diving board pattern doesn't have the large-drop requirement that a cloudbank does (a drop of 40% or more), so a late entry will diminish the potential and there's no guarantee that price will rise back to the board, either. I'll describe how well this setup works later in the chapter ([Table 25.11](#)). In this example, price *does* return to the board and breaks out upward at C.

The preferred method of trading diving board patterns is to wait for price to close above the top of the board (top of the chart pattern). Buy the stock and hope it continues rising. The statistics in this chapter discuss this setup.

## Identification Guidelines

[Table 25.1](#) shows the identification guidelines. Refer to [Figure 25.2](#) for additional guidance. In your quest to find these patterns, imagine driving down the road and hitting a pothole. The road is the board, and the pothole is the plunge. In technical terms, find a flat base followed by a sharp sell-off. Once price recovers, it can soar. You want to catch price as it reaches for the sky.